CALENDAR SPREAD

OPTIONS TRADING RULEBOOK

A complete framework for deploying Calendar Spreads across all market conditions — Low Capital · VIX-Based · Theta + Vega Play

NIFTY WEEKLY	VIX FRAMEWORK	DEBIT · BALANCED · CREDIT	LOW MARGIN

VIX ZONE	VIX RANGE	CALENDAR TYPE	PREMIUM TARGET
■ HIGH	20 – 30	CREDIT CALENDAR	■40 – ■45 per leg
■ AVERAGE	13 – 20	BALANCED CALENDAR	■28 – ■35 per leg
■ LOW	9 – 12	DEBIT CALENDAR	■22 – ■25 per leg

Theta Gainers · Strategy Series

TABLE OF CONTENTS

01 · WHAT IS A CALENDAR SPREAD?

Core definition & mechanics

A Calendar Spread (also called a Time Spread or Horizontal Spread) is any options strategy where two or more legs have **different expiry dates**. The spread exploits the difference in time-decay (Theta) and implied volatility (Vega) between near-term and far-term options.

Key Distinction vs Iron Condor

Feature	Iron Condor	Calendar Spread
Expiry Dates	Same expiry for all legs	Different expiry dates
Vega Profile	Vega Negative (short vol)	Vega Positive / Neutral
Volatility Risk	High — loss on vol spike	Managed / exploitable
Capital Required	Moderate–High	Low
Ideal Condition	Range-bound + stable VIX	Any VIX environment

Pay-off Shape

Unlike an Iron Condor (which has a flat-top profit zone), a Calendar Spread creates a **tent-shaped pay-off**: maximum profit near the sold strike at near-expiry, with defined loss on both sides. The far-leg hedge limits downside and enables volatility participation.

MARKET MOVES FAR LEFT	MARKET NEAR SOLD STRIKE	MARKET MOVES FAR RIGHT
Defined Loss (limited by hedge)	**Maximum Profit Zone (theta + vega benefit)**	Defined Loss (limited by hedge)

02 · TWO PRE-TRADE INPUTS

The mandatory checks before building any calendar

Before deploying any Calendar Spread, you MUST assess two inputs in this exact order:

STEP 1	STEP 2
Check India VIX	**Read Market Structure**
Determine VIX Zone (Low / Average / High) This decides your calendar type	Analyse weekly / bi-weekly chart Is market trending or sideways? This fine-tunes debit vs credit bias

Rule 2.1: Never build a calendar without checking VIX first. VIX determines the *type* of calendar (Credit / Balanced / Debit).

Rule 2.2: After VIX, use the weekly/bi-weekly chart to see whether the market has consolidated or made a large move. This adjusts your premium selection and strike positioning.

Rule 2.3: Only after both inputs are assessed, construct the calendar legs.

03 · VIX CLASSIFICATION SYSTEM

India VIX three-zone framework

India VIX historically oscillates between 9 and 30+. Based on this range, we classify VIX into three actionable zones. Each zone demands a different calendar construction approach.

HIGH VIX ZONE — VIX: 20 – 30 — Credit Calendar

- ✥ Premium is large — favour selling
- ✥ High vol expected to revert down within 2–3 weeks
- ✥ Historically VIX rarely sustains above 20 for more than 2–3 weeks
- ✥ Near-expiry sell premium is rich — collect aggressively

AVERAGE VIX ZONE — VIX: 13 – 20 — Balanced Calendar

- ✥ VIX can move either way — stay neutral
- ✥ Neither heavy credit nor heavy debit
- ✥ Premium is decent but not extreme
- ✥ Build symmetrical calendars, avoid strong directional bias

LOW VIX ZONE — VIX: 9 – 12 — Debit Calendar

- ✥ Premium is thin — paying a small debit is acceptable
- ✥ VIX historically bounces from this floor quickly
- ✥ Favour long vol (Vega long) via the far-leg hedge
- ✥ Debit paid is limited; upside is vol expansion benefit

04 · THREE CALENDAR TYPES

Credit · Balanced · Debit — complete rules for each

CREDIT CALENDAR

VIX 20–30

You collect MORE premium from the near-expiry sell leg than you pay for the far-expiry hedge. Net credit received upfront.

→ Sell near-expiry ATM/slightly OTM Call & Put

→ Buy far-expiry same or slightly wider strikes

→ Net premium collected > premium paid

→ Target ■40–■45 premium per sold leg (weekly)

→ Benefits from VIX falling post deployment

→ Adjust if VIX rises further — take partial profit at 40–50% credit

BALANCED CALENDAR

VIX 13–20

Premium paid and received are nearly equal. Position is neutral on vol direction — benefits primarily from time decay.

→ Near-sell and far-buy at roughly equal premium

→ Neither strong credit nor strong debit

→ Target ■28–■35 premium per sold leg (weekly)

→ Works best in mildly trending or sideways markets

→ Keep both Call and Put sides to maintain delta neutrality

→ Review weekly — exit at 30–40% of net premium collected

DEBIT CALENDAR

VIX 9–12

You pay slightly more for the far-expiry hedge than you collect from the near-expiry sell. Small debit paid upfront — compensated by Vega expansion.

→ Near-sell premium is thin (■22–■25)

→ Far-buy premium slightly higher — net debit acceptable

→ Benefits when VIX expands from the lows

→ Directional chart bias can increase debit slightly for higher reward

→ Max loss = debit paid; max gain = vol expansion + theta

→ If market stays sideways too long, exit to avoid time bleed on both legs

05 · PREMIUM SELECTION GUIDELINES

Weekly premium targets for sold legs — based on historical deployment data

These are practical premium ranges derived from live deployments. Premium values refer to the **near-expiry option you sell** (weekly basis). Both Call and Put sold legs should target similar premiums for symmetry.

VIX Zone	VIX Range	Target Sell Premium	Calendar Type	Notes
HIGH	20 – 30	**■40 – ■45**	**Credit Calendar**	Sell aggressively; vol likely to revert
AVERAGE	13 – 20	**■28 – ■35**	**Balanced Calendar**	Balanced posture; monitor VIX direction
LOW	9 – 12	**■22 – ■25**	**Debit Calendar**	Small debit ok; bet on VIX bounce

Rule 5.1: If the available premium is below the minimum target for your VIX zone, widen the strikes rather than compromise on premium quality.

Rule 5.2: Premium values are for *NIFTY weekly options*. Adjust proportionally for other instruments.

Rule 5.3: As VIX evolves during a trade, do not chase premium — honour the original type selection until the next weekly deployment.

06 · MARKET STRUCTURE RULES

Chart-based calendar fine-tuning using weekly/bi-weekly charts

After classifying VIX, use the weekly or bi-weekly chart to identify the market's current state. This determines whether to lean toward a more sideways or directional calendar structure.

SCENARIO A — Market Has Already Made a Large Move (3–4% in 4–5 days)

- Probability of further continuation decreases sharply
- Odds of sideways/mean-reversion increase
- Action: Build calendar that benefits from range-bound movement
- If VIX is Low (9–12): Deploy standard Debit Calendar centred at current level
- If VIX is High (20–30): Tighten credit spread — market likely to consolidate

SCENARIO B — Market Stuck in Prolonged Sideways Range (3–6 weeks)

- Breakout probability increases with time
- VIX often compresses during consolidation (signalling potential expansion)
- Action: Slightly increase debit to benefit from directional breakout
- Place calendar slightly towards the anticipated breakout direction
- Prefer Debit or Balanced type regardless of current VIX zone

SCENARIO C — Market at Key Support / Resistance Zone

- High probability of reversal or strong reaction at these levels
- Ideal for placing the sold strike near the S/R zone
- Market bouncing repeatedly from support: place sold strike near that support
- Use this to position your profit tent where price is most likely to hover

07 · STRIKE SELECTION RULES

How to pick the right strikes for each leg

Rule 7.1 — **Near-Expiry Sell Leg (Short Leg)**

Sell ATM (At-The-Money) or 1 strike OTM (Out-of-The-Money) based on the premium target for your VIX zone. The sold strike is your profit centre — place it where you expect the market to be at near-expiry.

Rule 7.2 — **Far-Expiry Buy Leg (Hedge Leg)**

Buy the same strike or 1 strike further OTM on the far expiry. This creates your hedge and enables Vega participation. In a Debit Calendar, you may buy slightly ITM on the far leg for added delta.

Rule 7.3 — **Strike Distance (Call & Put)**

For a strangle-type calendar, place both Call and Put sold strikes equidistant from the current market price unless chart structure suggests a directional bias, in which case shift one side accordingly.

Rule 7.4 — **Premium-Based Selection Shortcut**

Rather than calculating strike distance manually, target premium first. Find the strike that gives ■22–■45 (based on VIX zone) — that IS your correct strike. This avoids the confusion of fixed point distances.

Rule 7.5 — **Do Not Force Strikes**

If no strike gives you the target premium, wait or skip the deployment. Compromising on premium to force a trade leads to poor risk/reward.

08 · DEPLOYMENT RULES

When and how to enter Calendar Spreads

TIMING

- Deploy on Monday or Tuesday of the near-expiry week for maximum theta benefit
- Avoid deploying on expiry day — slippage is high, premium collapses unevenly
- For bi-weekly calendars: deploy at the start of the first week
- Best entry time: 10:30 AM – 12:00 PM (after opening volatility settles)

INSTRUMENT

- Prefer NIFTY over BANK NIFTY for better liquidity and easier adjustment
- BANK NIFTY spreads can widen significantly near expiry — avoid for beginners
- NIFTY weekly liquidity is consistently better for far-expiry legs

MARKET CONDITIONS

- Check India VIX before deployment — confirm your zone has not shifted
- Avoid deploying 1–2 days before major event (Budget, RBI, Election results)
- If an event is within the near-expiry window, wait for post-event entry
- Do not deploy if NIFTY has moved more than 2% before your entry time

POSITION SIZING

- Start with 1 lot (50 NIFTY shares) per side when learning
- Scale up only after consistent profitable deployments
- Never risk more than 2–3% of total capital on a single calendar deployment
- Keep capital in reserve for potential adjustments

09 · ADJUSTMENT RULES

When and how to adjust a live Calendar Spread

Adjustments in Calendar Spreads require extreme care. An incorrect adjustment can dramatically increase risk. Follow these rules strictly.

WHEN TO ADJUST

- Market has moved significantly beyond your sold strike (1.5–2× the premium collected)
- VIX has expanded more than 30–40% from your entry VIX level
- Near-expiry is less than 2 days away and you are deep in loss
- Your sold leg is ITM and has more than 70% probability of expiring ITM

HOW TO ADJUST — ROLL THE SOLD LEG

- Close the near-expiry sold leg at a loss
- Sell a new strike in the same or next weekly expiry at higher premium
- Ensure the new sale collects more than the loss booked on closure
- Never roll a losing leg without re-checking VIX zone first

HOW TO ADJUST — SHIFT THE CALENDAR

- Close the entire calendar (both legs) if the market has trended strongly
- Re-deploy a fresh calendar centred at the new market level
- Do not attempt to adjust individual legs in opposite directions

WHAT NOT TO DO

- Do NOT add more sold legs without closing existing losers
- Do NOT average down by selling the same losing strike again
- Do NOT ignore loss limits hoping for mean reversion
- Do NOT adjust near expiry (< 1 day) — accept the defined loss

10 · NIFTY vs BANK NIFTY

Why NIFTY is the preferred instrument for Calendar Spreads

Factor	NIFTY	BANK NIFTY
Liquidity (far expiry)	✔ Consistently good	✘ Can dry up near expiry
Bid-Ask Spread	✔ Tight spreads	✘ Widens on 3rd far expiry
Adjustment Ease	✔ Easy to roll/shift	✘ Difficult near expiry
Volatility (intraday)	✔ More stable	✘ Higher intraday swings
For Beginners	**✔ Strongly recommended**	✘ Advanced only

Rule 10.1: Always prefer NIFTY for Calendar Spreads until you have at least 6 months of live trading experience with the strategy.

Rule 10.2: If using BANK NIFTY, avoid bi-weekly calendars where the far leg falls on a 3rd-week expiry — liquidity at that expiry is unreliable.

11 · 12-MONTH DEPLOYMENT CALENDAR

Seasonal VIX patterns and annual deployment planning

VIX is not uniform across all 12 months. Historically, the year can be broken into three blocks based on expected volatility quality.

Block	Duration	VIX Quality	Recommended Calendar Type	Key Events
HIGH VOL MONTHS	~2 months/year	HIGH (20–30)	Credit Calendar	Budget, Elections, Global events
AVERAGE VOL MONTHS	~4–6 months/year	AVERAGE (13–20)	Balanced Calendar	Post-event periods, mid-year
LOW VOL MONTHS	~4–6 months/year	LOW (9–12)	Debit Calendar	Calm market periods, no major events

Rule 11.1: Do not try to force a profitable calendar in every single month. In extremely low VIX months, reduce position size or stay on the sidelines.

Rule 11.2: Anticipate upcoming events (Budget = Jan–Feb, Elections = April–May) and switch to Credit Calendar mode 2–3 weeks in advance.

12 · RISK MANAGEMENT RULES

Position sizing, stop-loss and profit-taking rules

MAX LOSS PER TRADE	Define the maximum loss before entry. For a Debit Calendar: max loss = debit paid. For Credit/Balanced: max loss = margin blocked – credit received. Never let a calendar go beyond 2× the initial credit/debit without taking action.
PROFIT TARGET	Exit at 40–50% of max potential profit. Do not hold to expiry trying to maximise. Time decay acceleration near expiry increases risk of sharp reversal.
STOP-LOSS TRIGGER	If the net P&L; reaches –100% of credit received (or –150% of debit paid), exit the entire position. No averaging, no hope trades.
CAPITAL ALLOCATION	Allocate no more than 15–20% of total options capital to calendar spreads at one time. Keep the rest in cash or low-risk instruments for adjustment reserves.
RE-ENTRY RULE	After closing a losing calendar, wait at least 1 trading day before re-entering. Re-check VIX zone and market structure before any new deployment.

13 · COMMON MISTAKES TO AVOID

Critical pitfalls that destroy calendar spread profitability

✘ Ignoring VIX Before Entry

Building a Credit Calendar during low VIX or a Debit Calendar during high VIX completely reverses your risk/reward. VIX zone must be checked before every single trade.

✘ Using the Same Expiry for Both Legs

This converts the strategy into a regular strangle/straddle — eliminating the calendar spread's defining advantage of time decay differential.

✘ Over-Adjusting

Making multiple adjustments in a single weekly cycle increases costs and complexity. Stick to one adjustment decision per expiry. If in doubt, close and redeploy fresh.

✘ Chasing Premium on Thin VIX Days

When VIX is at 9–10, premium is very thin. Trying to collect ■40+ in this environment forces you to sell dangerously close to ATM, increasing assignment risk.

✘ Choosing BANK NIFTY Without Checking Liquidity

BANK NIFTY far-expiry options can become illiquid. Always check the bid-ask spread of the far leg before entering. A wide spread makes exit costly.

✘ Holding Through Major Events

Earnings, budget, RBI policy — any anticipated event causes VIX spike that can destroy a balanced or credit calendar. Exit or avoid deployment around such events.

✘ No Defined Exit Plan

Enter every calendar with a pre-defined profit target AND stop-loss level. Emotional decision-making during drawdown leads to over-adjustment and bigger losses.

✘ Treating Calendar Spread as 'Passive Income'

Calendar Spreads are active strategies requiring weekly monitoring. They are NOT set-and-forget. Check your position at least once daily during market hours.

14 · QUICK REFERENCE CHEAT SHEET

One-page summary of all key rules

VIX RANGE	CALENDAR TYPE	SELL PREMIUM	MARKET SIDEWAYS?	MARKET TRENDING?	AFTER BIG MOVE?
20–30 HIGH	CREDIT	■40–■45	Keep credit structure	Tighten sold strikes	Reduce size, tighten
13–20 AVG	BALANCED	■28–■35	Neutral balanced	Add slight debit	Sideways bias
9–12 LOW	DEBIT	■22–■25	Increase debit slightly	Directional debit	Standard debit

THE 10 GOLDEN RULES

1	Always check India VIX BEFORE building any calendar
2	VIX zone determines calendar type: Low→Debit | Average→Balanced | High→Credit
3	Use premium targets, not fixed point distances, for strike selection
4	Prefer NIFTY over BANK NIFTY for better liquidity and adjustment ease
5	Enter on Monday/Tuesday for maximum theta benefit on weekly calendars
6	Avoid deploying within 2 days of a major anticipated event
7	Set profit target at 40–50% of maximum potential profit and exit
8	Never let a loss exceed 2× the initial credit or debit without action
9	One adjustment per expiry cycle — excessive adjustments kill returns
10	This is an active strategy — monitor daily, never set-and-forget

This RuleBook is based on the Calendar Spread framework taught by Theta Gainers. For educational purposes only. Options trading involves risk. Past deployment results do not guarantee future performance. Always trade with capital you can afford to lose.